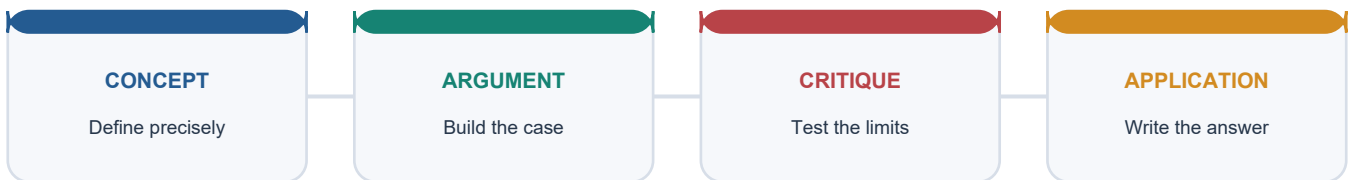


COMPLETE LEARNING SESSION

Regulatory State and Quasi-Judicial Institutions - Exact Solved Practice Workbook

EXACT SOLVED PRACTICE WORKBOOK

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

Workbook Contents

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Regulatory State and Quasi-Judicial Institutions - Solved Practice Workbook

Practice contract: Exactly 32 original MCQs appear before the verified PYQs. Correct options rotate ABCD eight times. Every option has a question-specific explanation and every MCQ has a distinct examiner trap.

BASIC MCQS / REMEDIATION

MCQ 1

Which statement correctly classifies the terms used in the UPSC syllabus?

A. Statutory identifies legal source; regulatory identifies function; quasi-judicial identifies the character of a decision. B. Statutory and regulatory are synonyms, while quasi-judicial means constitutional. C. Quasi-judicial identifies the source of creation and statutory identifies procedure. D. Regulatory means every act of the body is an adjudication.

Answer: A.

Option-specific explanations:

- **A - Correct:** It separates source, institutional role and decisional character, which are independent axes.
- **B - Incorrect:** A statute may create advisory, regulatory or adjudicatory bodies; the terms are not synonyms.
- **C - Incorrect:** Quasi-judicial concerns a rights-affecting decisional process, not the instrument creating the authority.
- **D - Incorrect:** Regulators also make general rules, supervise and investigate, none of which is automatically adjudication.

Examiner trap 1: Do not classify an institution from one adjective alone.

MCQ 2

A body created directly by an Act of Parliament is best described, by source, as

A. constitutional B. statutory C. executive D. judicial merely because it can summon witnesses

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A constitutional body must trace its core existence to constitutional text, not ordinary legislation.
- **B - Correct:** Creation by legislation is the defining source test for a statutory body.
- **C - Incorrect:** An executive body is created without direct statutory or constitutional establishment, often by resolution or order.
- **D - Incorrect:** Summoning and evidence powers can assist inquiry without conferring court status.

Examiner trap 2: Institutional powers do not replace the source test.

MCQ 3

When is a regulator's action most clearly quasi-judicial?

A. When it publishes a general discussion paper. B. When it collects sector statistics. C. When it decides a contested licence cancellation after notice and hearing. D. Whenever its chairperson has legal qualifications.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A discussion paper invites views and does not itself determine individual liability.
- **B - Incorrect:** Routine information collection is ordinarily supervisory or administrative.
- **C - Correct:** A case-specific adverse determination on disputed facts attracts fairness, evidence and reasons.
- **D - Incorrect:** Member qualifications do not change the legal character of every institutional act.

Examiner trap 3: Character follows the particular power exercised, not the office-holder's profession.

MCQ 4

A commission has powers of a civil court for summoning witnesses. What follows?

A. It becomes a constitutional court. B. Every recommendation becomes binding. C. The Code of Civil Procedure applies in full to every task. D. It has specified procedural powers, but its status and binding authority still depend on the parent law.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Court status cannot be created by inference from a limited procedural power.
- **B - Incorrect:** Binding force depends on the statute's remedial provision, not on the ability to summon.
- **C - Incorrect:** Legislation commonly confers selected civil-court powers without importing the entire Code.
- **D - Correct:** The parent enactment must still be read for source, jurisdiction, function and remedy.

Examiner trap 4: Civil-court powers are a tool, not a transformation of status.

MCQ 5

Why did independent regulation expand after liberalisation?

A. Private entry left network access, market power, prudential risk and consumer protection requiring specialised rules. B. Liberalisation constitutionally prohibited ministerial departments. C. All public ownership ended in 1991. D. Courts required every economic sector to have one regulator.

Answer: A.

Option-specific explanations:

- **A - Correct:** It identifies the continuing market and governance failures that survived reduced direct production.
- **B - Incorrect:** No constitutional rule abolished departments merely because sectors opened to competition.
- **C - Incorrect:** Public ownership persisted and varies by sector; the transition was not absolute.
- **D - Incorrect:** Regulators arise from legislative policy and sector need, not a universal judicial command.

Examiner trap 5: Liberalisation can increase the need for regulation; it is not simple deregulation.

MCQ 6

A network industry most characteristically presents

A. only ordinary retail competition B. bottleneck infrastructure, sunk costs and access problems C. no consumer-protection issue D. a constitutional ban on private operation

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Competitive segments may exist, but the defining regulatory issue is not ordinary retail alone.
- **B - Correct:** Shared networks and high fixed costs create natural-monopoly and non-discriminatory-access concerns.
- **C - Incorrect:** Quality, tariff and universal-service issues can directly affect consumers.
- **D - Incorrect:** Private participation is governed by policy and statute rather than a blanket constitutional prohibition.

Examiner trap 6: Separate monopoly layers from contestable services.

MCQ 7

The principal-agent problem in regulation arises because

A. Parliament has no authority to legislate technical standards. B. regulated firms are always public bodies. C. the delegated regulator has expertise and information that make monitoring drift or capture difficult. D. judicial review automatically converts the agent into the principal.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Parliament may set essential policy and delegate bounded details.
- **B - Incorrect:** Regulated entities may be public, private or mixed; ownership does not define the agency problem.
- **C - Correct:** Information advantage can permit the regulator to depart from statutory purpose without easy detection.
- **D - Incorrect:** Review checks legality; it does not reverse the democratic chain of authority.

Examiner trap 7: Delegation solves an expertise problem while creating a monitoring problem.

MCQ 8

Which is the best first question when evaluating an unfamiliar regulator?

A. How many penalties did it impose last year? B. Is its chair a retired judge? C. Does its name contain Commission? D. What legal instrument creates it and defines its mandate?

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Penalty totals cannot establish authority or effectiveness.
- **B - Incorrect:** Leadership background is one design fact, not the source of jurisdiction.
- **C - Incorrect:** Institutional names are legally indeterminate.
- **D - Correct:** Source and mandate establish the lawful field before powers or performance are assessed.

Examiner trap 8: Always start with the parent law, not the label or output count.

MCQ 9

Which bundle best captures multidimensional independence?

A. Appointment, tenure, removal, finance, staff/data and freedom from case-specific direction. B. A statutory declaration of independence alone. C. A large budget without appeal or reasons. D. Freedom from Parliament and courts.

Answer: A.

Option-specific explanations:

- **A - Correct:** Personnel, resources and decisional insulation together reveal both formal and practical autonomy.
- **B - Incorrect:** A declaration can coexist with ministry-controlled staffing, vacancies or insecure tenure.
- **C - Incorrect:** Resources improve capacity but cannot replace legality, fairness or correction.
- **D - Incorrect:** Independence is compatible with legislative scrutiny and constitutional review.

Examiner trap 9: Test de jure and de facto independence separately.

MCQ 10

A general tariff methodology made under delegated power is ordinarily

A. a criminal judgment B. quasi-legislative subordinate legislation C. a constitutional amendment D. a private contract

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Criminal guilt is determined by criminal courts under applicable law, not by a general tariff norm.
- **B - Correct:** A generally applicable regulatory norm has a rule-making rather than case-adjudicating character.
- **C - Incorrect:** A delegated regulation cannot amend the Constitution.
- **D - Incorrect:** The norm derives public authority from statute rather than reciprocal private consent.

Examiner trap 10: General rule and individual application have different legal characters.

MCQ 11

Which statement about excessive delegation is sound?

A. Every technical detail must be enacted in the parent Act. B. A regulator may choose any policy once Parliament delegates rule-making. C. The legislature may delegate details but must not abdicate essential legislative policy. D. Laying a regulation before Parliament cures every constitutional defect.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Modern legislation may validly leave adaptable details to expert rule-makers.
- **B - Incorrect:** Delegated authority remains bounded by statutory purpose and standards.
- **C - Correct:** The essential-function principle permits detail without surrendering the core legislative choice.
- **D - Incorrect:** Laying supports oversight but cannot cure ultra vires power or fundamental-rights violation.

Examiner trap 11: Delegation is bounded detail-filling, not a blank legislative cheque.

MCQ 12

Meaningful regulatory consultation means

A. the largest industry participant may veto the rule B. all comments must be accepted C. publication after finalisation is always sufficient D. the proposal, evidence and alternatives are exposed and material comments receive reasoned consideration.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Consultation informs the lawful decision-maker; it does not privatise public power.
- **B - Incorrect:** Comments are evidence and argument, not votes binding the regulator.
- **C - Incorrect:** Post-facto publication cannot replace a mandatory pre-decision opportunity.
- **D - Correct:** Disclosure and response allow stakeholders and reviewers to understand why the chosen rule prevailed.

Examiner trap 12: Consultation requires an open mind, not surrender of decisional authority.

MCQ 13

Audi alteram partem most directly requires

A. notice of the case and a meaningful opportunity to answer it B. automatic oral cross-examination in every administrative matter C. decision by an ordinary civil court D. unlimited adjournments

Answer: A.

Option-specific explanations:

- **A - Correct:** The hearing rule is satisfied by a real chance to meet allegations and decisive material.
- **B - Incorrect:** Procedure is context-sensitive; written submissions may be adequate in suitable cases.
- **C - Incorrect:** Administrative and quasi-judicial authorities can provide fair hearings without becoming courts.
- **D - Incorrect:** Fairness includes reasonable expedition and does not create a right to obstruct the process.

Examiner trap 13: A formal notice without disclosure of the decisive case may still be unfair.

MCQ 14

Gullapalli Nageswara Rao is best used for the proposition that

A. all departments are institutionally biased B. a deciding authority must genuinely hear the matter and the process must be free from disqualifying bias C. the same person must always investigate and adjudicate D. natural justice applies only to courts

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Departmental location alone does not invalidate every administrative process.
- **B - Correct:** The case condemns a biased decisional arrangement and a split that deprived the lawful decision-maker of the hearing.
- **C - Incorrect:** Combining roles heightens risk; the judgment does not command investigative fusion.
- **D - Incorrect:** Its significance lies precisely in fairness outside ordinary courts.

Examiner trap 14: Do not reverse the maxim: the problem was not that hearing and decision were insufficiently combined.

MCQ 15

Mohinder Singh Gill controls a later attempt to defend an order because

A. the order can always be rewritten during litigation B. reasons are unnecessary if the authority is expert C. validity is judged by the reasons stated in the order, not a new foundation supplied by affidavit D. only criminal judgments require recorded grounds

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Litigation cannot retrospectively replace the statutory decision actually made.
- **B - Incorrect:** Expertise strengthens the need to explain the path from technical material to conclusion.
- **C - Correct:** The recorded-reasons rule keeps review focused on the real administrative order.
- **D - Incorrect:** Speaking-order discipline extends beyond criminal adjudication.

Examiner trap 15: Later explanation may clarify, but cannot invent the missing basis of power or decision.

MCQ 16

Under CCI v SAIL, a section 26(1) direction to the Director General is

A. a final finding of abuse B. automatically appealable to NCLAT C. a criminal conviction D. a prima-facie administrative investigation direction that does not finally determine rights

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The section 26(1) stage initiates inquiry and does not establish infringement.
- **B - Incorrect:** The statutory list of appealable orders does not include this preliminary direction.
- **C - Incorrect:** CCI does not convict an enterprise of a criminal offence through this step.
- **D - Correct:** Its preliminary and administrative character explains the limited hearing and appeal position.

Examiner trap 16: Procedural rights and appealability depend on statutory stage.

MCQ 17

A statutory merits appeal ordinarily differs from judicial review because it

A. may reconsider facts, law and remedy within the appellate grant B. exists without statutory authority C. can amend the parent Act D. eliminates High Court supervision

Answer: A.

Option-specific explanations:

- **A - Correct:** The appellate forum's depth is defined by the statute and can extend beyond legality review.
- **B - Incorrect:** There is no free-standing merits appeal without legislative creation.
- **C - Incorrect:** An appellate tribunal applies law; it cannot rewrite its constituting enactment.
- **D - Incorrect:** Constitutional supervision remains even where first-line merits correction is specialised.

Examiner trap 17: Never present a writ petition as an unrestricted second appeal.

MCQ 18

PTC India v CERC held that APTEL

A. may invalidate section 178 regulations whenever hearing an appeal B. may interpret or apply a regulation but cannot decide its vires; constitutional review tests validity C. has no jurisdiction over any commission order D. is the rule-making authority under section 178

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The Supreme Court reserved vires review rather than conferring it on APTEL.
- **B - Correct:** This accurately separates application in statutory appeal from constitutional validity review.
- **C - Incorrect:** Section 111 does confer appellate jurisdiction over specified orders.
- **D - Incorrect:** CERC, not APTEL, exercises the section 178 regulation-making power.

Examiner trap 18: Instrument validity and order appeal are different remedial questions.

MCQ 19

Which appeal chain is accurate for an appealable SEBI order?

A. SEBI -> TDSAT -> High Court B. SEBI -> APTEL -> Supreme Court C. SEBI -> Securities Appellate Tribunal -> Supreme Court on the statutory route D. SEBI -> NGT -> Supreme Court

Answer: C.

Option-specific explanations:

- **A - Incorrect:** TDSAT serves telecom and assigned fields, not ordinary securities appeals.

- **B - Incorrect:** APTEL is the electricity and assigned energy appellate forum.
- **C - Correct:** SAT is the specialist appellate body identified by the SEBI framework.
- **D - Incorrect:** NGT's environmental jurisdiction does not absorb securities regulation.

Examiner trap 19: Match the appellate body to the parent sector statute.

MCQ 20

Which statement correctly separates TRAI and TDSAT?

A. TDSAT makes all telecom regulations and TRAI hears appeals. B. They are two names for the same body. C. TRAI is a constitutional body and TDSAT a ministry. D. TRAI regulates/recommends within the Act; TDSAT hears specified disputes and appeals.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The functions are reversed and overgeneralised.
- **B - Incorrect:** The 2000 amendment's point was institutional separation.
- **C - Incorrect:** Both arise through statutory architecture rather than the claimed categories.
- **D - Correct:** This follows the Act's regulator-versus-adjudicatory allocation.

Examiner trap 20: TRAI is not the telecom appellate tribunal.

MCQ 21

In electricity regulation, the legally correct structure is

A. CERC/SERCs exercise allocated regulatory fields and APTEL hears specified appeals. B. APTEL sets every tariff in the first instance. C. CERC and every SERC have identical territorial jurisdiction. D. High Courts conduct routine tariff appeals on merits.

Answer: A.

Option-specific explanations:

- **A - Correct:** The Electricity Act separates commission jurisdiction from appellate correction.
- **B - Incorrect:** APTEL reviews specified orders rather than replacing all commission functions.
- **C - Incorrect:** Central and State fields must be traced to statutory allocation.
- **D - Incorrect:** Constitutional courts review legality and do not ordinarily operate as tariff tribunals.

Examiner trap 21: First identify the appropriate commission, then the remedy.

MCQ 22

An appealable CCI order ordinarily proceeds to

A. SAT B. NCLAT C. TDSAT D. APTEL

Answer: B.

Option-specific explanations:

- **A - Incorrect:** SAT is associated principally with specified financial-regulator appeals.
- **B - Correct:** The Competition Act assigns appeals from listed CCI orders to NCLAT.
- **C - Incorrect:** TDSAT is the telecom and assigned-sector forum.
- **D - Incorrect:** APTEL serves electricity and assigned energy appeals.

Examiner trap 22: NCLAT is appellate here; it does not replace CCI as competition regulator.

MCQ 23

Which statement about RBI is most accurate?

A. It is created by the Constitution. B. Every RBI action goes to SAT. C. It is statutory, and the remedy depends on the particular power and enactment. D. Its Governor derives authority from Article 324.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** RBI is established by the Reserve Bank of India Act, 1934.
- **B - Incorrect:** Financial regulation does not have one universal appellate route.
- **C - Correct:** The legal source and remedy are function-specific across RBI and banking statutes.
- **D - Incorrect:** Article 324 concerns election superintendence, not central banking.

Examiner trap 23: Do not invent a single constitutional source or appellate forum for RBI.

MCQ 24

IRDAI and PFRDA are best distinguished by

A. one being constitutional and the other judicial B. one regulating telecom and the other electricity C. one being a ministry and the other a court D. their distinct insurance and pension statutory mandates under different parent laws

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Both are statutory rather than constitutional/judicial bodies.
- **B - Incorrect:** Telecom and electricity have separate statutory regulators.
- **C - Incorrect:** Neither body fits the asserted departmental/court categories.
- **D - Correct:** IRDAI concerns insurance while PFRDA concerns pensions/NPS within their respective Acts.

Examiner trap 24: Shared financial-sector location does not merge mandates.

MCQ 25

FSSAI is

A. a statutory food-safety authority under the Food Safety and Standards Act, 2006 B. a constitutional commission C. an office legally controlled by DGHS D. the appellate tribunal for consumer disputes

Answer: A.

Option-specific explanations:

- **A - Correct:** The 2006 Act supplies its legal source and science-based standards mandate.
- **B - Incorrect:** No constitutional article creates FSSAI.
- **C - Incorrect:** Ministry linkage does not make it an office under the Director General of Health Services.
- **D - Incorrect:** Consumer commissions and appellate structures are distinct from food-standard regulation.

Examiner trap 25: Administrative location is not the same as legal source or institutional control.

MCQ 26

The NGT-CPCB distinction is correctly stated as

A. NGT is executive while CPCB is constitutional. B. NGT is a statutory environmental tribunal; CPCB is a statutory pollution-control regulator/board. C. CPCB hears all appeals from NGT. D. Both are ordinary civil courts.

Answer: B.

Option-specific explanations:

- **A - Incorrect:** NGT arises under a statute, and CPCB is not constitutional.

- **B - Correct:** The distinction tracks adjudication under the NGT Act versus pollution regulation under Water/Air laws.
- **C - Incorrect:** The statutory route does not place CPCB above NGT.
- **D - Incorrect:** Specialised statutory powers do not convert either into the ordinary civil judiciary.

Examiner trap 26: Both can be statutory while performing very different jobs.

MCQ 27

Under the RERA Act architecture, which sequence is accurate?

A. Authority -> SAT -> Supreme Court B. Adjudicating officer -> CCI -> NCLAT C. Authority/adjudicating officer -> Real Estate Appellate Tribunal -> High Court under section 58 D. State Government -> NGT -> High Court

Answer: C.

Option-specific explanations:

- **A - Incorrect:** SAT does not hear ordinary real-estate regulatory appeals.
- **B - Incorrect:** Competition institutions do not form the RERA appeal chain.
- **C - Correct:** The statute separates first-instance actors, appellate tribunal and the section 58 High Court route.
- **D - Incorrect:** Environmental adjudication is not the default remedy for real-estate registration disputes.

Examiner trap 27: Do not use RERA as one undifferentiated institution.

MCQ 28

Which is the clearest example of cognitive capture?

A. A regulator publishes a dissenting opinion. B. A court remands an order for reasons. C. Parliament amends a statute after debate. D. A regulator unconsciously adopts the regulated industry's worldview because it depends on its data and experts.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Dissent can expose rather than conceal institutional assumptions.
- **B - Incorrect:** A reasoned remand is an accountability response, not capture.
- **C - Incorrect:** Legislative change through debate is ordinary democratic control.
- **D - Correct:** Cognitive capture describes internalised assumptions without requiring corruption or explicit pressure.

Examiner trap 28: Capture can be intellectual and informational, not only financial.

MCQ 29

Which arrangement best reconciles independence with accountability?

A. Protection from case-specific direction plus statutory reporting, reasons, appeal, audit and legislative scrutiny. B. No disclosure of orders to avoid political criticism. C. Removal at pleasure whenever a ministry disagrees. D. Immunity from all judicial review.

Answer: A.

Option-specific explanations:

- **A - Correct:** It protects adjudicatory judgment while preserving multiple lawful accountability channels.
- **B - Incorrect:** Secrecy prevents affected persons and institutions from testing the decision.
- **C - Incorrect:** At-pleasure removal creates dependence and threatens impartiality.
- **D - Incorrect:** Constitutional review is a core legality safeguard rather than an enemy of independence.

Examiner trap 29: Autonomy is insulation from interested command, not public invisibility.

MCQ 30

A sound approach to algorithmic regulation begins by

A. banning every automated system B. identifying a concrete harm, competent legal authority and proportionate auditable safeguards C. treating an ethics principle as enacted law D. allowing trade-secret claims to defeat every review

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A categorical ban ignores differences in risk and statutory purpose.
- **B - Correct:** Harm, jurisdiction, auditability and contestability create a lawful problem-solving sequence.
- **C - Incorrect:** Soft guidance has no automatic binding status.
- **D - Incorrect:** Confidentiality can be protected without making adverse public power unreviewable.

Examiner trap 30: Technology is not a jurisdiction; connect each risk to law and remedy.

MCQ 31

Which reform most directly addresses revolving-door risk?

A. A higher penalty ceiling alone B. abolishing all industry consultation C. conflict disclosure, recusal and proportionate cooling-off rules D. allowing informal ministry instructions

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Penalty size does not control post-employment incentives.
- **B - Incorrect:** Industry expertise is relevant; the answer is balanced and transparent participation.
- **C - Correct:** These measures target both actual conflicts and appearance of compromised judgment.
- **D - Incorrect:** Unrecorded political control creates another capture channel.

Examiner trap 31: Match the reform to the incentive causing the failure.

MCQ 32

The Madras Bar Association line is safest cited for the proposition that

A. technical members may always replace judges B. every regulator must be chaired by a Supreme Court judge C. tribunals are immune from legislative redesign D. tribunals substituting for court work need independence, suitable tenure and legally competent adjudication; technical expertise cannot universally displace the judicial core.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The cases do not authorise universal substitution of legal competence.
- **B - Incorrect:** Institutional design varies; no such rule governs every regulator.
- **C - Incorrect:** Parliament may redesign tribunals within constitutional limits.
- **D - Correct:** This bounded formulation captures independence without exporting tribunal rules to all bodies.

Examiner trap 32: Use tribunal-independence doctrine only where adjudicatory substitution makes it relevant.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ 1 - 2018 PRELIMS GS-I Q4

Question (verified wording): How is the National Green Tribunal (NGT) different from the Central Pollution Control Board (CPCB)?

1. The NGT has been established by an Act whereas the CPCB has been created by an executive order of the Government.
2. The NGT provides environmental justice and helps reduce the burden of litigation in the higher courts whereas the CPCB promotes cleanliness of streams and wells, and aims to improve the quality of air in the country.

Which of the statements given above is/are correct?

A. 1 only B. 2 only C. Both 1 and 2 D. Neither 1 nor 2

Answer: B.

Solution: Statement 1 is incorrect because both bodies have statutory foundations: NGT under the National Green Tribunal Act, 2010 and CPCB under the Water (Prevention and Control of Pollution) Act, 1974. Statement 2 correctly separates specialised environmental adjudication from pollution-control regulation and administration.

VERIFIED PYQ 2 - 2018 PRELIMS GS-I Q23

Question (verified wording): Consider the following statements:

1. The Food Safety and Standards Act, 2006 replaced the Prevention of Food Adulteration Act, 1954.
2. The Food Safety and Standards Authority of India (FSSAI) is under the charge of Director General of Health Services in the Union Ministry of Health and Family Welfare.

Which of the statements given above is/are correct?

A. 1 only B. 2 only C. Both 1 and 2 D. Neither 1 nor 2

Answer: A.

Solution: The 2006 Act consolidated and replaced the earlier food-adulteration regime, so statement 1 is correct. FSSAI is a statutory authority under that Act and is not an office under the charge of the Director General of Health Services, so statement 2 is incorrect.

VERIFIED PYQ 3 - 2019 PRELIMS GS-I: REVIEW OF INDEPENDENT REGULATORS

Question (verified wording): In India, which of the following review the independent regulators in sectors like telecommunications, insurance, electricity, etc.?

1. Ad Hoc Committees set up by the Parliament
2. Parliamentary Department Related Standing Committees
3. Finance Commission
4. Financial Sector Legislative Reforms Commission
5. NITI Aayog

Select the correct answer using the code given below:

A. 1 and 2 B. 1, 3 and 4 C. 3, 4 and 5 D. 2 and 5

Answer: A.

Solution: Parliamentary ad hoc committees and Department-related Standing Committees can scrutinise regulators. The Finance Commission has a fiscal-devolution mandate; FSLRC was a reform commission; and NITI Aayog is an executive policy body rather than the ordinary parliamentary review mechanism.

VERIFIED PYQ 4 - 2021 PRELIMS GS-I Q1

Question (verified wording): With reference to the Indian economy, consider the following statements:

1. The Governor of the Reserve Bank of India (RBI) is appointed by the Central Government.
2. Certain provisions in the Constitution of India give the Central Government the right to issue directions to the RBI in public interest.
3. The Governor of the RBI draws his power from the RBI Act.

Which of the above statements are correct?

A. 1 and 2 only B. 2 and 3 only C. 1 and 3 only D. 1, 2 and 3

Answer: C.

Solution: Statements 1 and 3 are correct. RBI and the Governor's authority are statutory under the Reserve Bank of India Act, 1934. The Constitution does not itself contain the claimed RBI direction-giving provision.

VERIFIED PYQ 5 - 2023 GS-II Q7 - 10 MARKS, 150 WORDS

Question (verified wording): Discuss the role of the Competition Commission of India in containing the abuse of dominant position by the Multi-National Corporations in India. Refer to the recent decisions.

Model solution (145 words):

The Competition Commission of India (CCI) contains abuse of dominance under section 4 of the Competition Act, 2002; dominance itself is not unlawful.

CCI first defines the relevant product and geographic market, assesses durable market power and then tests conduct such as unfair conditions, denial of market access, tying or leveraging. This method is important for multinational digital firms because network effects, data advantages and ecosystem control may entrench power even where users pay no monetary price. CCI can investigate through the Director General, issue interim directions, order cessation and impose authorised monetary or behavioural remedies. Appealable final orders proceed to NCLAT and then the Supreme Court.

However, size, popularity or innovation cannot substitute for proof of relevant market, dominance and abuse. Effective control therefore needs digital-economic expertise, timely evidence, proportionate remedies, reasoned orders and coordination with consumer, data and sector regulators without merging their legal tests.

VERIFIED PYQ 6 - 2025 PRELIMS GS-I Q60

Question (verified wording): With reference to the Indian economy, consider the following activities:

- I. Production of crude oil II. Refining, storage and distribution of petroleum III. Marketing and sale of petroleum products IV. Production of natural gas

How many of the above activities are regulated by the Petroleum and Natural Gas Regulatory Board?

A. Only one B. Only two C. Only three D. All four

Answer: B.

Solution: The PNGRB Act excludes production of crude oil and natural gas while covering the listed downstream or midstream activities of refining, storage and distribution of petroleum and marketing and sale of petroleum products. Therefore II and III are counted.

VERIFIED SUPPORTING PYQ 7 - 2018 GS-II Q12 - 15 MARKS, 250 WORDS

Question (verified wording): How far do you agree with the view that tribunals curtail the jurisdiction of ordinary courts? In view of the above, discuss the constitutional validity and competency of the tribunals in India.

Model solution (211 words):

Tribunals curtail ordinary-court jurisdiction only in the statutory fields transferred to them; they cannot extinguish the constitutional courts' power of judicial review.

Articles 323A and 323B authorise specified tribunalisation, while ordinary statutes create sector forums such as TDSAT, SAT and APTEL. Expertise, flexible procedure and concentrated caseload can improve first-instance or appellate decision-making. A statutory appellate tribunal may reconsider facts, law and remedy within its grant.

The constitutional limit is institutional independence and reviewability. In *L. Chandra Kumar v Union of India* (1997), the Supreme Court held that High Court review under Articles 226/227 and Supreme Court review under Article 32 form part of the basic structure. Tribunal decisions therefore remain subject to constitutional supervision. The *Madras Bar Association* line further makes appointments, tenure, administration and judicial competence relevant where tribunals substitute for court work; technical members may supplement but cannot universally displace the judicial core.

Tribunalisation can nevertheless reproduce delay through vacancies, weak infrastructure, short tenure and another appellate layer. Reform should provide transparent selection, adequate tenure, independent administration, reasoned procedure and coherent appeals.

Thus tribunals may validly replace ordinary jurisdiction within a defined field, but not the constitutional role of High Courts or the Supreme Court.

ORIGINAL SOLVED MAINS PRACTICE

ORIGINAL MAINS PRACTICE 1 - 10 MARKS, 150 WORDS

Question: Distinguish regulatory, adjudicatory, quasi-judicial, administrative and policy functions.

Model answer:

Regulatory, adjudicatory, quasi-judicial, administrative and policy describe related but distinct exercises of public power.

Regulation governs a sector through standards, licensing, tariffs, supervision and enforcement. Adjudication determines a dispute or specified liability. Quasi-judicial character attaches to a particular rights-affecting decision requiring notice, impartial hearing, evidence and reasons, even when the institution is not a court.

Administrative action implements policy, collects information, inspects or initiates investigation without necessarily deciding liability. Policy action selects public objectives and priorities within constitutional and statutory authority.

One regulator may perform several functions. TRAI regulates, while TDSAT separately adjudicates specified disputes and appeals. CCI's section 26(1) investigation direction was treated in *CCI v SAIL* as administrative, whereas a final infringement order follows adjudicatory safeguards.

Therefore classification must follow the parent law and the particular act, not the body's name. A regulator is not always quasi-judicial, and civil-court powers do not create court status.

[ORIGINAL MAINS 1 MODEL ANSWER WORD COUNT: 148]

Examiner note: The answer follows claim -> named evidence -> analysis -> qualification and remains within the stated ceiling.

ORIGINAL MAINS PRACTICE 2 - 10 MARKS, 150 WORDS

Question: Why did independent regulation expand after economic liberalisation in India?

Model answer:

Economic liberalisation reduced direct State production in sectors but did not remove market failures or public obligations. It therefore changed the technique of government.

Private entry into telecom, electricity, finance and infrastructure increased the need for non-discriminatory network access, predictable licensing, prudential supervision, competition and consumer protection. High sunk costs and natural-monopoly bottlenecks required tariff and access rules. Information asymmetry in finance, insurance and food safety required specialised monitoring. Independent regulators also offered technical continuity and credible commitment where government could otherwise be owner, policy-maker and referee.

Yet delegation creates a principal-agent problem. Expertise and informational advantage can produce drift, industry capture or insulation from democratic priorities.

The appropriate response is calibrated independence: clear statutory mandates, transparent appointments, adequate tenure and funding, inclusive consultation, reasoned orders, parliamentary scrutiny, merits appeal and constitutional judicial review. Liberalisation thus implies smarter accountable regulation, not a withdrawal of the State or freedom from law.

[ORIGINAL MAINS 2 MODEL ANSWER WORD COUNT: 150]

Examiner note: The answer follows claim -> named evidence -> analysis -> qualification and remains within the stated ceiling.

ORIGINAL MAINS PRACTICE 3 - 15 MARKS, 250 WORDS

Question: Examine how natural justice controls quasi-judicial and administrative decision-making by regulators.

Model answer:

Natural justice converts expert power into fair public decision-making. Its content depends on the statute, function and civil consequences rather than on whether the authority is formally called a court.

The hearing rule requires notice of the case, disclosure of decisive material and a meaningful opportunity to respond. The bias rule requires an impartial decision-maker, conflict disclosure and recusal where necessary. Findings should rest on relevant evidence, answer material submissions and culminate in a speaking order.

The case law shows a functional evolution. *Province of Bombay v Khushaldas Advani* examined whether the statute imposed a duty to act judicially. *Gullapalli Nageswara Rao* invalidated a biased process in which the lawful decision-maker had not genuinely heard the objections. *A.K. Kraipak* held that the administrative/quasi-judicial line is thin and that natural justice prevents miscarriage. *Maneka Gandhi* required fair, just and reasonable procedure. *Mohinder Singh Gill* prevents a public order from being rebuilt through new reasons in later affidavits.

Procedure remains contextual. A general regulation may use consultation rather than an individual hearing; urgent interim action may precede fuller process; and the Evidence Act does not automatically apply. But expertise cannot justify secret decisive material, prejudgment or unreasoned sanctions.

Thus fairness follows the nature and impact of power: the stronger the individual consequence, the stronger the procedural safeguards and corrective remedy required.

[ORIGINAL MAINS 3 MODEL ANSWER WORD COUNT: 221]

Examiner note: The answer follows claim -> named evidence -> analysis -> qualification and remains within the stated ceiling.

ORIGINAL MAINS PRACTICE 4 - 15 MARKS, 250 WORDS

Question: Differentiate a statutory merits appeal from constitutional judicial review in regulatory governance.

Model answer:

A statutory appeal and constitutional judicial review correct different kinds of regulatory error.

A merits appeal exists only where the parent Act creates it. The appellate forum may reconsider facts, law, sector reasoning and remedy within the grant. Thus appealable SEBI orders go to SAT; CCI orders listed by the Competition Act go to NCLAT; specified TRAI matters go to TDSAT; and CERC or SERC orders go to APTEL. The onward route is also statute-specific.

Judicial review under Articles 226/227, and Article 32 in its constitutional field, tests authority, jurisdiction, natural justice, relevant considerations, reasons, arbitrariness and rights. It is not ordinarily a second tariff or market-design appeal. Courts may intervene decisively when legality fails, but do not routinely substitute their preferred technical outcome.

PTC India v CERC illustrates the boundary. CERC regulations under section 178 of the Electricity Act are subordinate legislation. APTEL may interpret or apply them while hearing an appeal, but cannot invalidate them; vires is tested through constitutional review. *CCI v SAIL* separately shows that appealability depends on statutory stage: a section 26(1) investigation direction is not a final appealable determination.

Therefore appeal supplies specialised merits correction, while judicial review preserves the constitutional floor. Neither route should be confused with unrestricted rehearing or complete judicial exclusion.

[ORIGINAL MAINS 4 MODEL ANSWER WORD COUNT: 212]

Examiner note: The answer follows claim -> named evidence -> analysis -> qualification and remains within the stated ceiling.

ORIGINAL MAINS PRACTICE 5 - 20 MARKS, 250 WORDS

Question: Critically evaluate the independence and accountability of India's sector regulators.

Model answer:

Sector regulators need independence because technical, long-horizon decisions can be distorted by case-specific political or commercial pressure. But insulation without answerability can produce capture or unaccountable technocracy.

Independence is multidimensional. Published appointment criteria, plural selection, adequate staggered tenure, defined removal, predictable funding, professional staff and independent data capacity protect judgment. Functional separation is important where the same institution makes rules, investigates and sanctions. Written general policy directions, where authorised, are preferable to informal intervention in pending cases.

Accountability operates through the parent statute, parliamentary questions and committees, annual reports, delegated-legislation scrutiny, appropriation and CAG audit where applicable, RTI, consultation, speaking orders, statutory appeals and constitutional judicial review. The 2019 UPSC question correctly recognised ad hoc and Department-related Standing Committees as review mechanisms.

Failures remain. Industry can capture information and cognition; revolving doors shape incentives; ministries may control staff or budgets; multiple mandates obscure priorities; and diffuse consumers struggle to participate. Excessive insulation can therefore strengthen rather than prevent capture.

Reform should combine transparent appointments and removal, conflict disclosure, recusal and cooling-off, consultation impact statements, reasoned rule-making, consumer representation, performance audits and coherent appeals. The *Madras Bar Association* principles apply most strongly to tribunals replacing court work; they do not impose one judicial model on every regulator.

The sound design is accountable autonomy: protected expert decision-making under statute, public reasons, legislative scrutiny, appeal and constitutional review.

[ORIGINAL MAINS 5 MODEL ANSWER WORD COUNT: 225]

Examiner note: The answer follows claim -> named evidence -> analysis -> qualification and remains within the stated ceiling.

ORIGINAL MAINS PRACTICE 6 - 20 MARKS, 250 WORDS

Question: Design a reform framework for regulation of data-driven and algorithmic markets in India.

Model answer:

Data-driven markets combine network effects, ecosystem leverage, information asymmetry and opaque automated decisions. Reform should therefore begin with defined harms rather than a generic demand to regulate technology.

First, map jurisdiction. Competition law addresses exclusionary market power; consumer law addresses manipulation and unfair practice; privacy law governs personal-data duties; cyber and sector laws address security and service-specific risks. A lead-and-referral protocol can coordinate evidence without informally transferring statutory power.

Second, build technical capacity. Regulators need secure access to necessary data, model documentation, audit trails and independent testing. Information requests must be proportionate and protect legitimate confidentiality.

Third, make automated consequences contestable. Affected persons should receive intelligible grounds, correction channels and human review where significant rights or licences are involved. A risk score may prioritise inspection but should not become conclusive liability.

Fourth, improve rule-making. Consultation impact statements should identify evidence, alternatives, small-firm and consumer effects, interoperability choices and review dates. Sandboxes may support learning where law permits, but cannot waive statutory rights.

Finally, address capture through conflict disclosure, recusal, cooling-off and consumer or civil-society participation. Performance audits should test discrimination, error, competition, safety and compliance rather than count notices.

The framework must remain adaptive but lawful: clear authority, auditable systems, reasoned decisions, coherent appeals and constitutional review should accompany technical experimentation.

[ORIGINAL MAINS 6 MODEL ANSWER WORD COUNT: 211]

Examiner note: The answer follows claim -> named evidence -> analysis -> qualification and remains within the stated ceiling.